

State of Ohio

Monthly Financial Report

JANUARY 12, 2026

Memorandum to:
The Honorable Mike DeWine, Governor
The Honorable Jim Tressel, Lt. Governor

From: Kimberly Murnieks, OBM Director



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REPORT OVERVIEW



AUTO SALES & USE TAX REVENUE

was \$8.9 million above the monthly estimate in December.



TAX RECEIPTS

in December of FY 2026 were 10.6% above those in December of FY 2025.



PERSONAL INCOME TAX

revenue is up \$514 million year-to-date above FY 2025.



NON-AUTO SALES & USE TAX

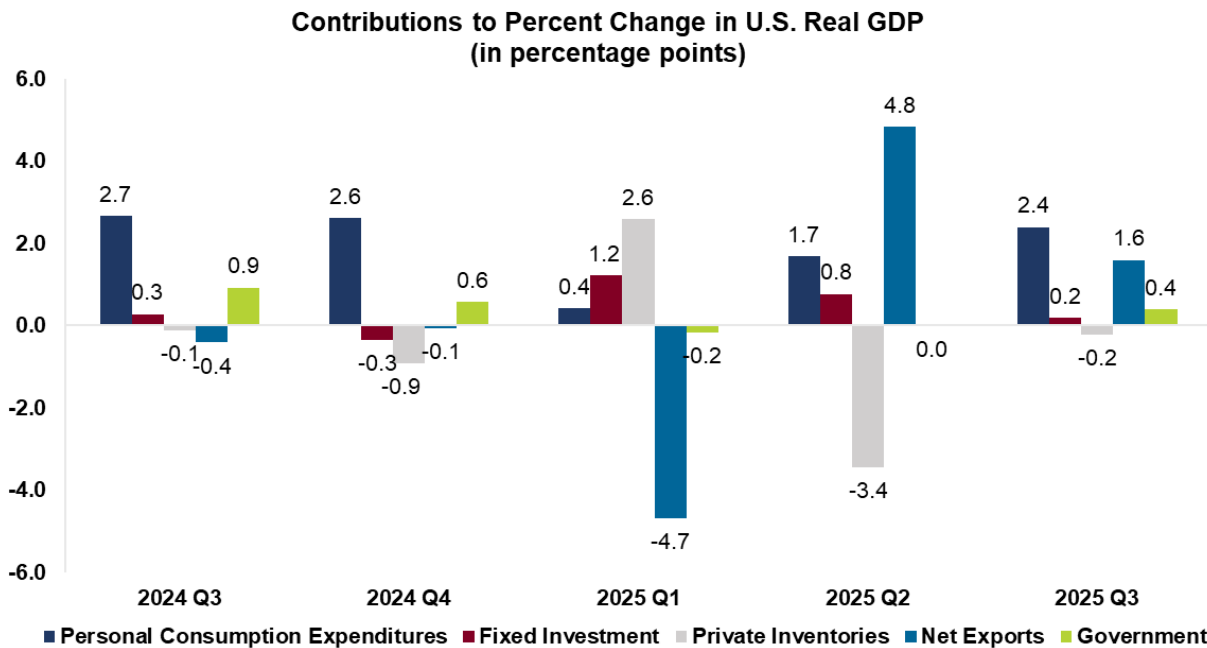
collections for the year-to-date are 3.3% above the estimate.

Economic Activity

Economic Outlook

According to the Bureau of Economic Analysis’ initial estimate, the nation’s **Real Gross Domestic Product (GDP)** increased in the third quarter of calendar year 2025 at an annualized rate of 4.3 percent.

The third quarter increase in real GDP was mainly due to the rise in personal consumption expenditures (2.4 percentage points), net exports (1.6 percentage points) as well as smaller increases in government spending (0.4 percentage point), and fixed investment (0.2 percentage point) that was partially offset by a decrease in private inventories (-0.2 percentage point).



In September 2025, the Conference Board's **Leading Economic Index** decreased 0.3 percent to 98.3, after decreasing 0.3 percent in August 2025. The Conference Board's Senior Manager of Business Cycle Indicators reported that September's decline was primarily due to weakening expectations from both businesses and consumers. The September Index reading suggests a slowing of economic activity during the remainder of 2025 and into early 2026. The Conference Board forecasts that real GDP growth will grow at a rate of 1.5 percent in 2026.

Recent data releases continue point to moderating growth for the U.S. economy amidst a gradual cooling of the labor market. After the last three meetings of the Federal Open Market Committee, several members expressed opinions that the labor market concerns now outweigh inflation concerns. As such, the Committee voted to reduce the federal funds target range by twenty-five basis points at each of the final three meetings in 2025, culminating in an almost neutral range of 3.5 to 3.75 percent.

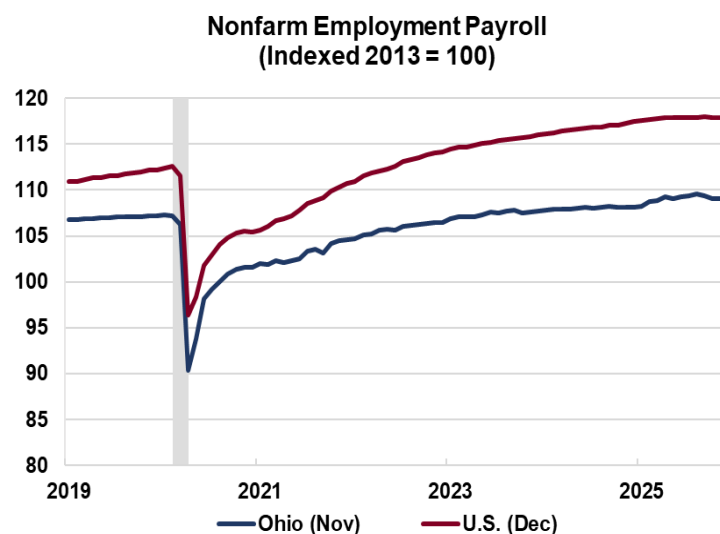
Economic Forecasts

Source	Date	4th Quarter 2025 Annualized GDP Forecast
Federal Reserve Bank of Atlanta (GDPNow)	01/09/2026	5.1%
Federal Reserve Bank of New York (Nowcast)	01/02/2026	2.6%
S&P Global GDP Tracker	01/08/2026	2.2%
Moody's Analytics High-Frequency Model	01/08/2026	1.0%
Conference Board	12/12/2025	1.2%

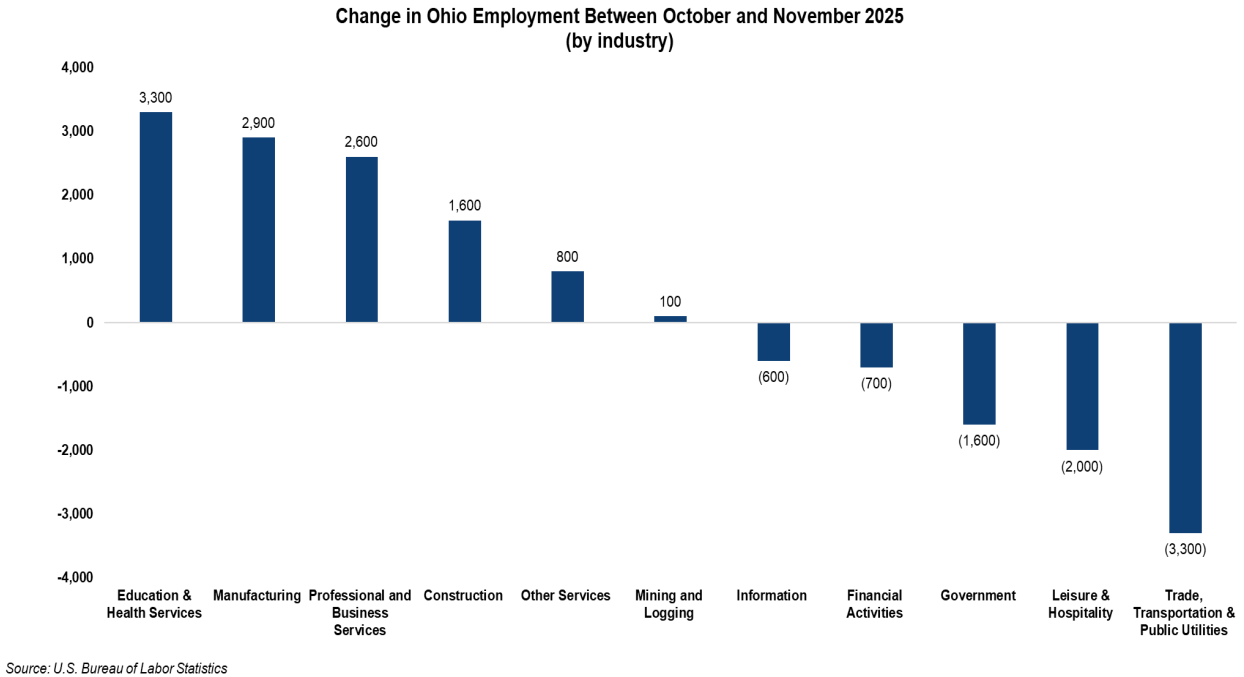
Ohio Labor Market

Ohio's nonfarm payroll employment increased by an estimated 3,100 jobs between October and November 2025 to 5.7 million jobs. Compared to November 2024, nonfarm employment in Ohio increased by 51,200 (1.2%).

In Ohio, the largest employment gains between October and November 2025 were in the education and health services (3,300), manufacturing (2,900), and professional and business services (2,600) industries. These gains were partially offset by losses in trade, transportation and public utilities (-3,300), leisure and hospitality (2,000), and government (-1,600).



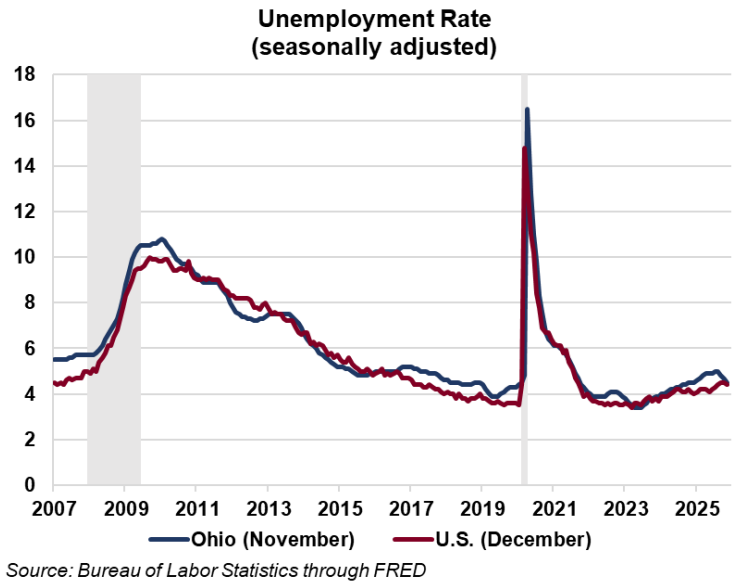
Source: Bureau of Labor Statistics



Ohio’s seasonally adjusted **labor force participation rate** in November 2025 was 62.3 percent, a 0.1 percentage point decline from November 2024, and 0.2 percentage point below the national rate in November. Ohio’s seasonally adjusted **employment-population ratio** was 59.5 in November 2025, also 0.1 percentage point lower than one year before.

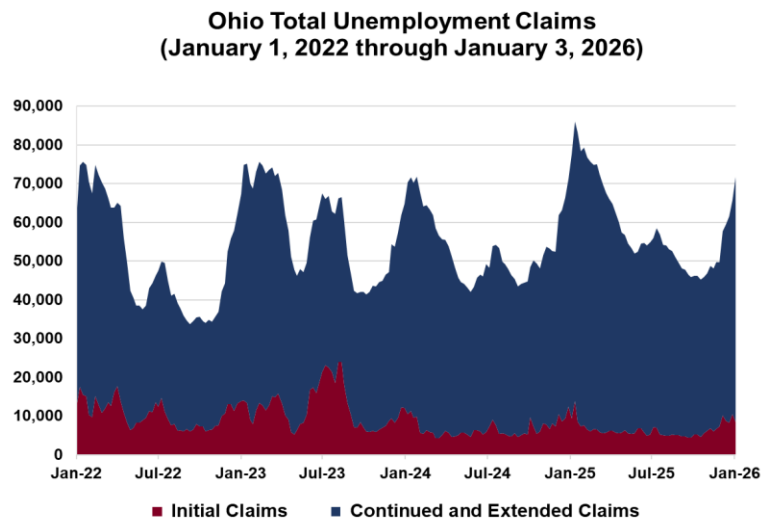
The **Ohio unemployment rate** in November 2025 was 4.5 percent, a 0.3 percentage point decrease from September, and was the same as the national rate in November.

In November 2025, the number of **initial unemployment claims** increased 29 percent for men and decreased 7.7 percent for women compared to October 2025. Compared to November 2024, initial claims were 13.9 percent lower for men and 12.5 percent lower for women.



Compared to October, initial unemployment claims increased for most race categories. Individuals who identify as Hispanic (30.3%), White (20.4%), Asian/Pacific Islander

(12.9%), or American Indian (11.8%) experienced the largest increases in claims in November 2025. Initial unemployment claims decreased for individuals who identify as Black (-7.2%) and for those who did not specify a race (-3.4%) in November.

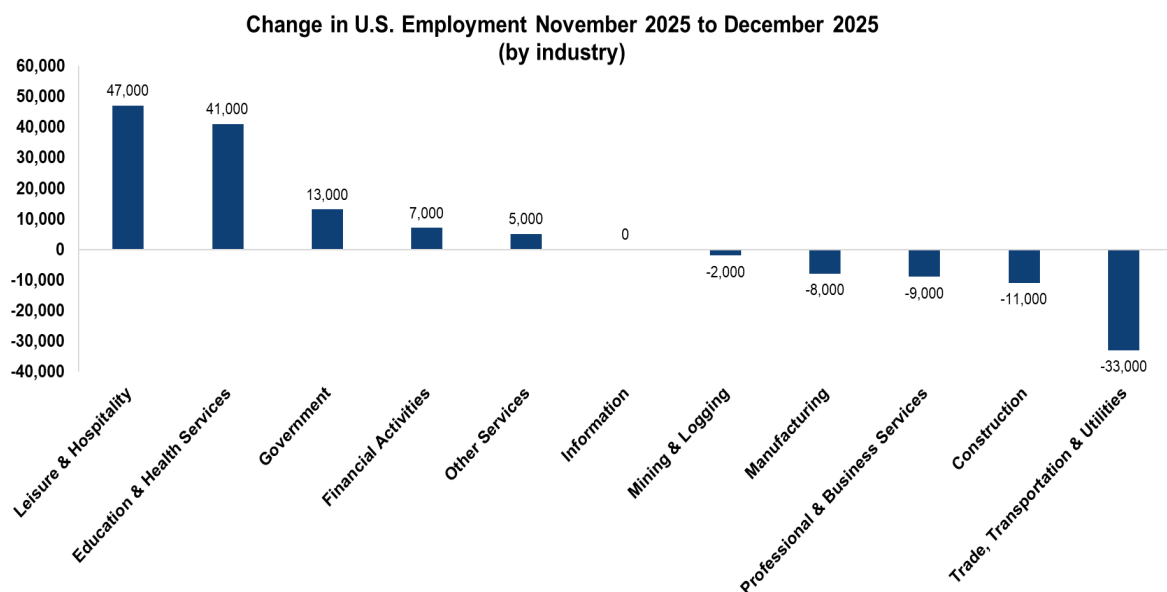


Source: Ohio Department of Job and Family Services

During the week ending January 3, 2026, 8,464 individuals filed an initial unemployment claim, a 19.9 percent decrease (-1,999 claims) compared to the previous week. During the same week, 63,292 individuals filed **continued or extended claims**, a 14.7 percent increase (8,123 claims) from the prior week.

U.S. Labor Market

U.S. nonfarm payroll employment increased by an estimated 50,000 jobs in December 2025. Growth in employment was driven by increases in leisure and hospitality (47,000), education and health services (41,000), government (13,000), and financial services (7,000) that were partially offset by decreases in trade, transportation and utilities



Source: Bureau of Labor Statistics

(-33,000), construction (-11,000), professional and business services (-9,000) and manufacturing (-8,000).

The **U.S. labor force participation rate** decreased 0.1 percentage point between November and December 2025 to 62.4 percent and was 0.1 percentage point lower compared to December 2024. The **U.S. employment-population ratio** increased 0.1 percentage point to 59.7 in December and was 0.2 percentage point lower compared to one-year before.

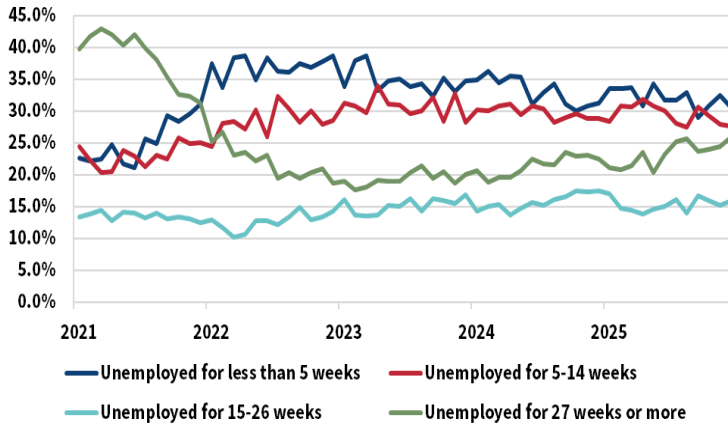
The **U.S. unemployment rate** decreased 0.1 percentage point between November and December 2025 to 4.4 percent, while the number of unemployed individuals decreased by 278,000 to 7.5 million. Between November and December 2025, the unemployment rate decreased by 0.7 percentage point for those who identify as Black (to 7.5%) and decreased by 0.1 percentage point for those who identify as White (to 3.8%) and for those who identify as Hispanic (to 4.4%). The unemployment rate was unchanged for those who identify as Asian (to 3.6%) in December. The unemployment rate for both men and women decreased 0.1 percentage point to 4.5 percent between November and December 2025.

Unemployment Rates by Demographic Group

	Sep-2025	Nov-2025*	Dec-2025
Women	4.4%	4.5%	4.4%
Men	4.4%	4.5%	4.5%
Black	7.6%	8.2%	7.5%
White	3.7%	3.9%	3.8%
Asian	4.3%	3.6%	3.6%
Hispanic	5.5%	5.0%	4.9%

*October 2025 household survey data were not collected due to lapse in federal funding.

Duration of Unemployment in the U.S.
(percent of total unemployment)

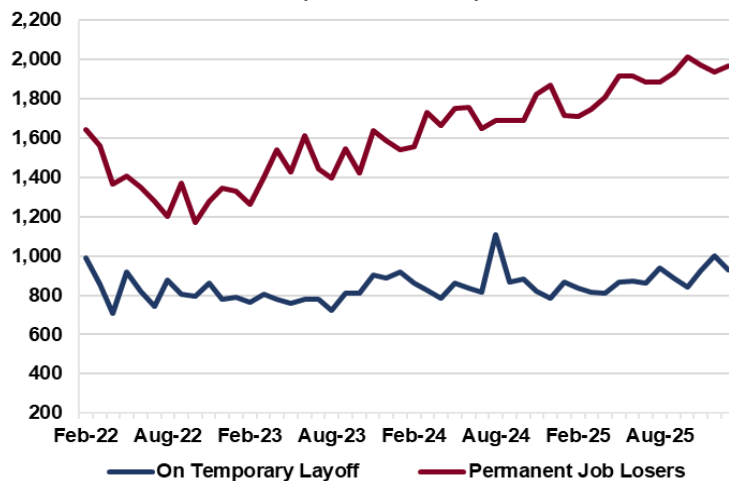


Source: Bureau of Labor Statistics

In December 2025, 26 percent of unemployed individuals in the nation were unemployed for 27 weeks or more, an increase of 1.6 percentage point from November 2025.

The number of **people not in the labor force who currently want a job** increased by 69,000 (1.1%) between November and December to 6.2 million people.

U.S. Total Job Losses
(in thousands)



Source: Bureau of Labor Statistics

The number of unemployed people on **temporary layoffs** decreased by 7.3 percent to 929,000 in December 2025.

The number of people with **permanent job losses** increased by 33,000 to two million people between November and December 2025.

Consumer Income and Consumption

The U.S. Bureau of Economic Analysis (BEA) did not release **personal income and outlays** data for October 2025 on schedule due to lapse in federal appropriations. On December 23, 2025, BEA updated the monthly data for July, August, and September 2025 that were originally published on December 5, to reflect newly available source data.

\$26.3 Trillion

Revised data suggest that **personal income** increased by \$92.4 billion (0.4%) to \$26.3 trillion in September 2025 compared to August. The rise was spurred by increases in wages and salaries of \$47

billion (0.4%) and in personal current transfer receipts from the government of \$19.6 billion (0.4%).

Revised **personal consumption expenditures** increased by \$79.2 billion (0.4%) between August and September 2025 to \$21.2 trillion. Overall spending on goods increased by 7.3 billion (0.1%) in September compared to August. Spending on durable goods decreased by \$10.5 billion (0.5%) during the same period, primarily driven by a decrease in spending on motor recreational goods and vehicles (-\$8.2 billion). Spending on nondurable goods increased by \$17.8 billion (0.4%) in September, with almost all of the increase driven by spending on gasoline and other energy goods (\$17.9 billion). Spending on services increased 0.5 percent in September 2025 and was primarily driven by a \$20.7 billion (0.6%) increase in health care services as well as a \$16.2 billion (0.9%) increase on other services.

Consumer Spending by Industry, for Select Industries
(\$ in millions of chained 2017 dollars)

	August 2025 (revised)	September 2025 (revised)	1-Month Percent Change	12-Month Percent Change	24-Month Percent Change
Durable Goods	\$ 2,144,612	\$ 2,136,183	-0.43%	2.4%	6.0%
Motor vehicles and parts	\$ 595,957	\$ 596,901	0.2%	0.8%	2.0%
Furnishings and durable household equipment	\$ 451,934	\$ 446,618	-1.2%	-0.6%	6.3%
Recreational goods and vehicles	\$ 838,182	\$ 831,562	-0.8%	6.6%	12.7%
Other durable goods	\$ 307,427	\$ 308,825	0.5%	1.8%	7.6%
Nondurable Goods	\$ 3,551,681	\$ 3,540,519	-0.3%	2.2%	5.5%
Food and beverage for home consumption	\$ 1,188,790	\$ 1,182,127	-0.6%	0.6%	2.9%
Clothing and footwear	\$ 549,820	\$ 541,603	-1.5%	6.6%	8.0%
Gasoline and other energy goods	\$ 319,067	\$ 321,419	0.7%	-0.1%	3.0%
Other nondurable goods	\$ 1,514,029	\$ 1,514,618	0.0%	2.9%	7.6%
Services	\$ 10,939,795	\$ 10,973,759	0.3%	2.5%	5.9%
Housing and utilities	\$ 2,699,932	\$ 2,706,233	0.2%	0.9%	2.3%
Health care	\$ 2,966,124	\$ 2,978,952	0.4%	4.6%	10.9%
Food services and accommodations	\$ 1,090,019	\$ 1,089,047	-0.1%	1.6%	2.8%
Financial services and insurance	\$ 1,178,581	\$ 1,184,034	0.5%	2.4%	6.0%

Note: To understand how people's spending has changed over time without the effects of inflation, the table above provides details on real personal consumption spending in chained 2017 values. This is different from the numbers in the text, which are not adjusted for inflation.

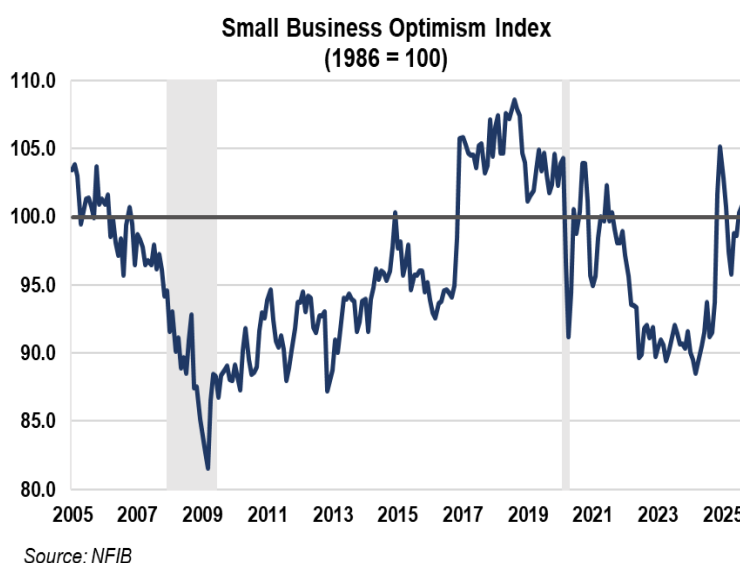
Source: Bureau of Economic Analysis, Table 2.8.6 Real Personal Consumption Expenditures by Major Type of Product

Personal saving preliminarily totaled \$928.8 billion in September 2025, a 1.6 percent decrease compared to August's revised level and 13 percent below September 2024's level. The **personal saving rate** was four percent in September 2025, a 0.1 percentage point decrease from August.

The **Consumer Price Index for All Urban Consumers** (CPI) rose 0.2 percent between September and November 2025. Over the last year, the "all items" index increased 2.7 percent. Compared with September, price increases were widespread. Energy prices increased the most (1.1%), followed by shelter (0.2%), and food and beverage prices (0.2%).

The December 2025 releases of the two major consumer opinion surveys suggested only minor changes in consumer attitudes compared to November. The University of Michigan's **Consumer Sentiment Index** reported a 1.9 point (3.7%) increase in December compared with November, with the index registering at 52.9. Over the last year, the Index declined 28.5 percent. The Conference Board's **Consumer Confidence Index** decreased 3.8 percentage points to 89.1 in December, from an upwardly revised 92.9 in November. Consumer opinions continued to focus on price increases and inflation.

The **Small Business Optimism Index** increased 0.8 percentage point to 99 in November, remaining above the 52-year average of 98 for the seventh consecutive month. The increase largely reflected respondents' higher expectations for sales volumes. Twenty-one percent of respondents indicated that their single most important problem in November was labor quality, followed by inflation. The Uncertainty Index rose three points, with small business owners reporting uncertainty about capital expenditure plans over the next three to six months driving the increase.



Travel and Tourism

Ohio's four largest transit authorities, the Greater Cleveland Regional Transit Authority, Central Ohio Transit Authority, Southwest Ohio Regional Transit Authority, and Greater Dayton Regional Transit Authority, provided an estimated 2.9 million unlinked passenger trips during the first three weeks of December 2025. This was 11.1 percent below ridership levels in the first three weeks of December 2024.

Nationally, 77.3 million travelers passed through TSA checkpoints in December 2025. Average airline checkpoint traffic increased 8.3 percent in December compared with November. **Total travel throughput** in December 2025 decreased 0.1 percent from December 2024.

In the U.S., the **hotel occupancy rate** was 50.5 percent for the week ending January 3, 2026, 4.4 percent higher than the comparable week in 2025. The **average daily rate** for a hotel room was \$175.47, a 3.4 percent increase from the same week one year ago. **Revenue per available room** was \$88.65, a 7.9 percent increase compared to the same week in 2024 and 2025.

Industrial Activity

According to preliminary data from the Board of Governors of the Federal Reserve System, **total industrial production** increased 0.2 percent from October to November 2025 and was 2.5 percent higher than in November 2024.

Manufacturing Production in November was unchanged from October 2025 and 1.9 percent higher than in November 2024. Nondurable manufacturing production increased 0.1 percent whereas durable manufacturing production decreased 0.1 percent between October and November 2025. Nationally, manufacturing in three of Ohio's top 10 industries increased between October and November 2025. These increases occurred in food, beverage, and tobacco products (1.2%), aerospace and other transportation equipment (1.1%), and petroleum and coal products (0.4%). The sectors with the largest declines were motor vehicles and parts (1%) electrical equipment and appliances (-0.8%), and chemicals (-0.7%).

Rate of Change in U.S. Industrial Production by the Manufacturing Sector

Manufacturing Sector	Percent Change October 2025 to November 2025	Percent Change September 2025 to October 2025	Percent Change November 2024 to November 2025
Aerospace and Other Transportation Equipment	1.1%	2.0%	25.2%
Chemicals	-0.7%	-0.8%	1.2%
Electrical Equipment and Appliances	-0.8%	-0.7%	-0.6%
Fabricated Metal Products	-0.3%	0.3%	3.7%
Food, Beverage, and Tobacco Products	1.2%	0.3%	2.6%
Machinery	-0.2%	-0.1%	1.7%
Motor Vehicles and Parts	-1.0%	-5.1%	-5.6%
Petroleum and Coal Products	0.4%	-0.1%	0.6%
Plastics and Rubber Products	-0.2%	-0.6%	-1.0%
Primary Metals	-0.3%	-0.4%	4.7%

In December 2025, the Institute for Supply Management (ISM) reported that the **Purchasing Managers Index (PMI)** for the United States decreased to 47.9, a 0.3 percentage point decline from November, the lowest reading in 2025. The chair of the survey committee noted that the U.S. manufacturing industry continued to contract at a faster rate in December than in prior months.



Source: Institute for Supply Management

Across the nation, only two of the 18 industries tracked by ISM increased production between October and November 2025. Of those manufacturing industries with a significant presence in Ohio, growth was reported in electrical equipment and appliances in December. In contrast, manufacturing decreased most in chemical products, petroleum and coal products, and primary metals products.

Anecdotal evidence from a nationwide survey of purchasing and supply executives by the Institute for Supply Management indicated ongoing concerns about the implications of trade policy for their businesses.

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“Winding up the year with mixed results. It has not been a great year. We have had some success holding the line on costs; however, real consumer spending is down and tariffs are ultimately to blame. [Chemical Products]”

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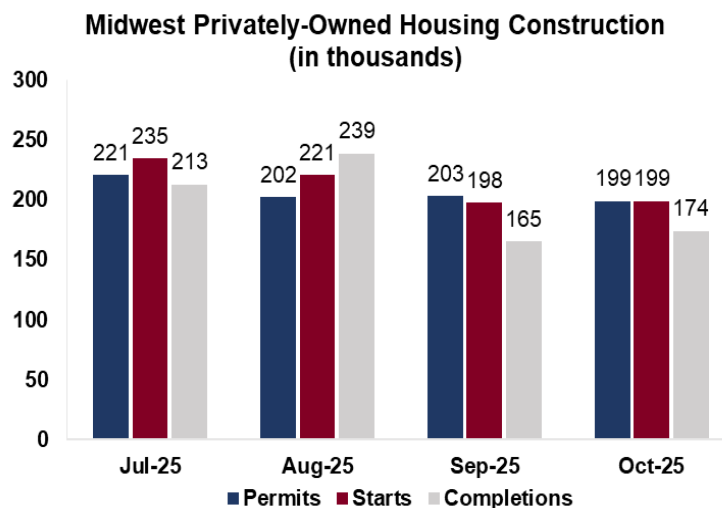
“Global logistics remains sensitive to geopolitical shifts. Tariffs are influencing equipment pricing and procurement strategies. Large-scale data center programs are absorbing and reducing availability of resources for other sectors.” [Food, Beverage, and Tobacco Products]”

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Ohio and Midwest Construction and Housing Market

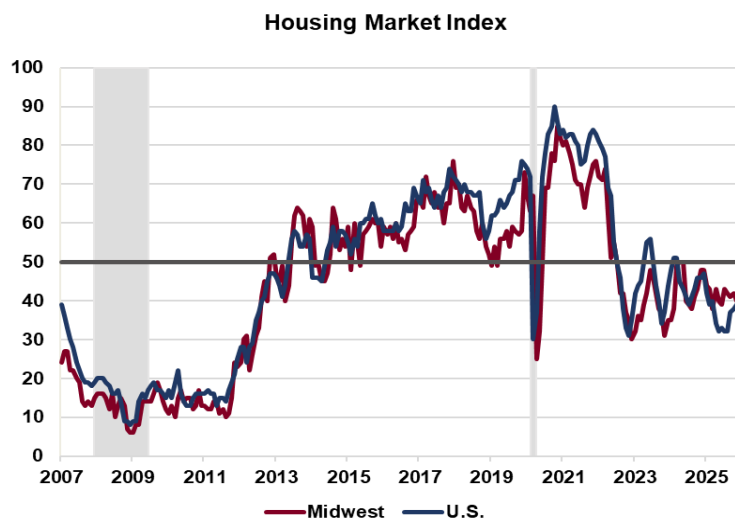
The U.S. Census Bureau did not release residential sales data for September or October 2025 on schedule. Data for building permits in Ohio, and Midwest new home sales for August 2025, are available in the [Monthly Financial Report released in October](#).

Privately-owned housing starts in the Midwest preliminarily increased 0.5 percent between September and October 2025 and were 20.7 percent below October 2024 levels. In October 2025, privately-owned housing completions in the Midwest increased by 5.5 percent compared to September 2025 and were 22.3 percent below the number of completions in October 2024.



Source: U.S. Census Bureau through FRED

According to Ohio Realtors, 9,267 homes were sold in Ohio in November 2025, a 5.1 percent decrease from November 2024. The median sale price in Ohio was \$260,000, a six percent increase from last November. Statewide, active listings totaled 34,745 in November 2025, a 5.9 percent increase over November 2024.



Source: National Association of Home Builders

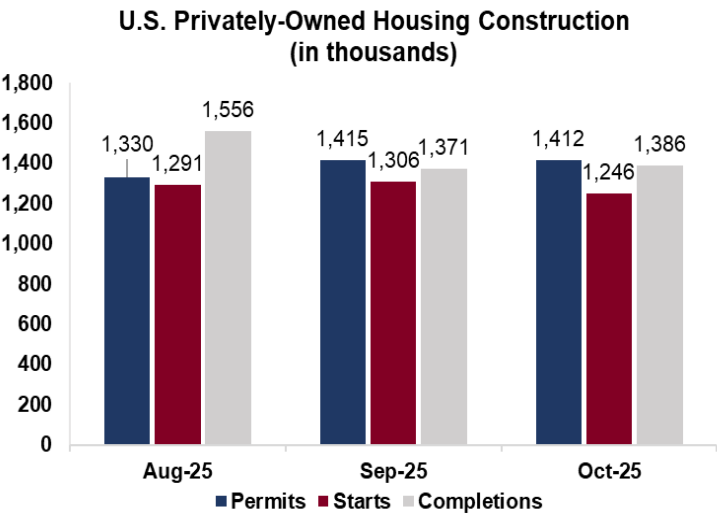
In December 2025, the National Association of Home Builders reported that the Housing Market Index rose by one point nationally to 39 and by seven points in the Midwest to 47, indicating that fewer than half of builders are confident in the current and near-term housing outlook.

U.S. Construction and Housing Market

The U.S. Census Bureau did not release all the construction spending data for September or October 2025 as scheduled. Data for total, public, and private spending for August 2025 are available in the [Monthly Financial Report released in September](#). Data for newly built single family home sales for August 2025 are available in the [Monthly Financial Report released in October](#).

In the U.S., the number of **building permits** issued for privately-owned housing units decreased by 0.2 percent between September and October 2025 and was 1.1 percent below the number of permits issued in October 2024.

Nationally, privately-owned housing starts decreased by 4.6 percent between September and October 2025 and were 20.7 percent below October 2024.



Source: U.S. Census Bureau through FRED

According to the National Association of Realtors, **existing home sales** increased by 0.5 percent between October and November 2025, reaching an annual rate of 4.1 million housing units. Compared with November 2024, existing home sales decreased 1 percent. The median sale price of all existing homes increased 1.2 percent from a year ago to \$409,200. Available inventory in November 2025 totaled 1.4 million units, a 5.9 percent decrease compared to October, and a 7.5 percent increase compared to November 2024's inventory level.

Revenues

December GRF tax revenues, including the sales tax holiday transfer, exceeded the estimate by \$61.6 million (2.3%). The non-auto sales tax accounted for most of December's positive tax revenue variance. Combined with the sales tax holiday transfer, this source exceeded its anticipated level by \$51.6 million (3.8%). For the year-to-date, total tax revenue with the transfer is \$518.2 million (3.5%) above the estimate. The personal income tax accounts for 46.4 percent of that year-to-date variance.

YTD Revenue Variance (\$ in millions)

Category	Includes:	YTD Variance	% Variance
Tax Receipts	Sales & use, sales tax holiday transfer, personal income, financial institutions, commercial activity, natural gas distribution, public utility, kilowatt hour, foreign & domestic insurance, other business & property taxes, cigarette, adult use marijuana, alcoholic beverage, liquor gallonage, repealed taxes	\$ 518.2	3.5%
Non-Tax Receipts	Federal grants, earnings on investments, licenses & fees, other income, intrastate transfers	\$ (174.6)	-1.8%
Transfers	Budget stabilization, liquor transfers, capital reserve, other	\$ 0.4	0.1%
Total Receipts and Transfer Variance		\$ 344.1	1.4%
Non-Federal Receipts and Transfer Variance		\$ 514.3	3.4%
Federal Grants Variance		\$ (170.3)	-1.8%

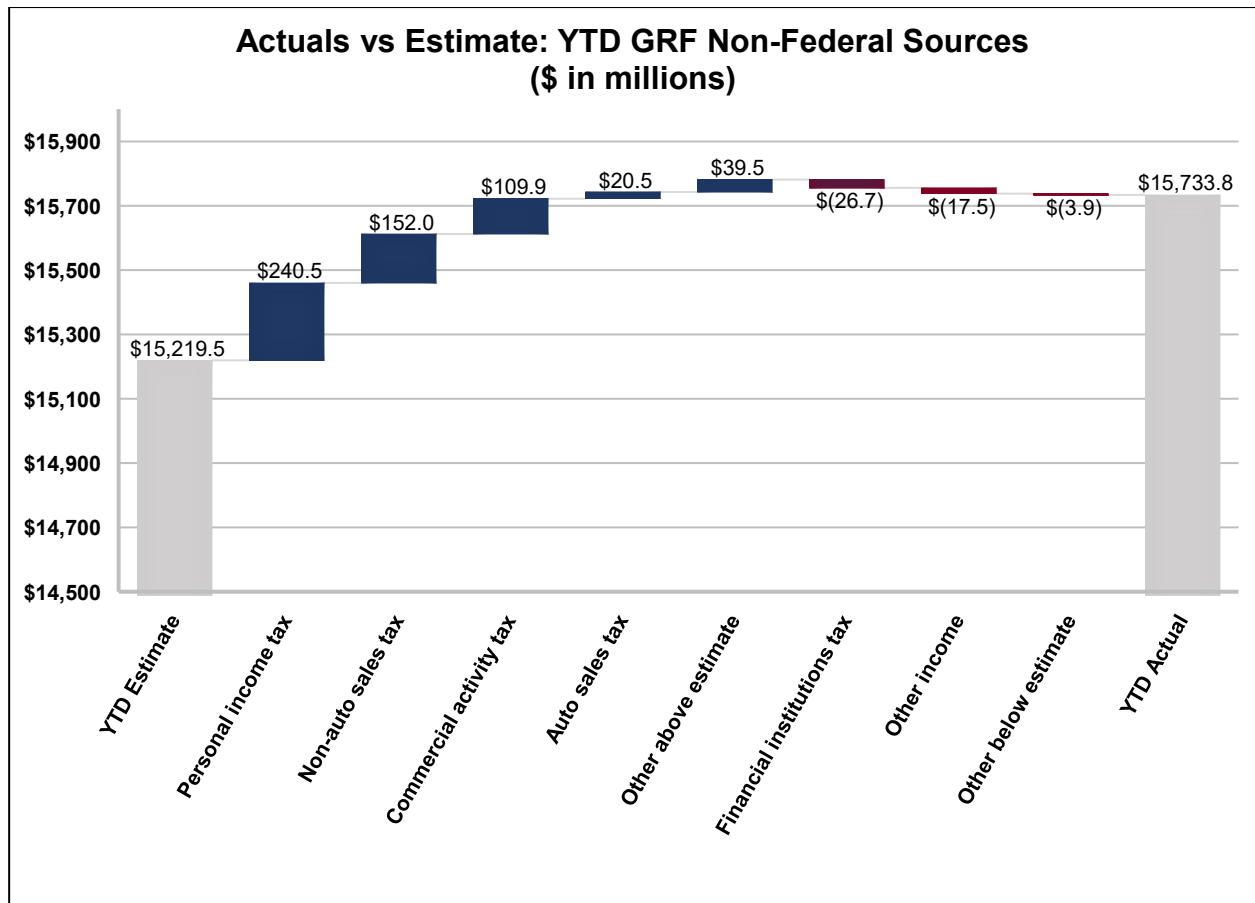
In December, GRF sources totaled \$4.2 billion, \$102.1 million (-2.4%) below the estimate. As mentioned above, tax revenues were \$61.6 million (2.3%) above the estimate, while non-tax revenues were \$163.8 million (-10.2%) below the estimate. For the year-to-date, tax revenues and transfers are above the estimate, while non-tax revenues are below.

The following table shows that in December, the negative variances from the estimate (\$197.1 million) exceeded the positive variances (\$94.9 million), resulting in a net negative variance of \$102.1 million.

GRF Revenue Sources Relative to Monthly Estimates – December 2025
(\$ in millions)

Individual Revenue Sources Above Estimate		Individual Revenue Sources Below Estimate	
Non-Auto Sales Tax	\$ 51.6	Federal Grants	\$ (166.2)
Personal Income Tax	\$ 19.8	Financial Institutions Tax	\$ (24.1)
Auto Sales Tax	\$ 8.9	Other revenue sources below estimate	\$ (6.7)
Cigarette and Other Tobacco Products Tax	\$ 7.9		
Other revenue sources above estimate	\$ 6.8		
Total Above	\$ 94.9	Total Below	\$ (197.1)

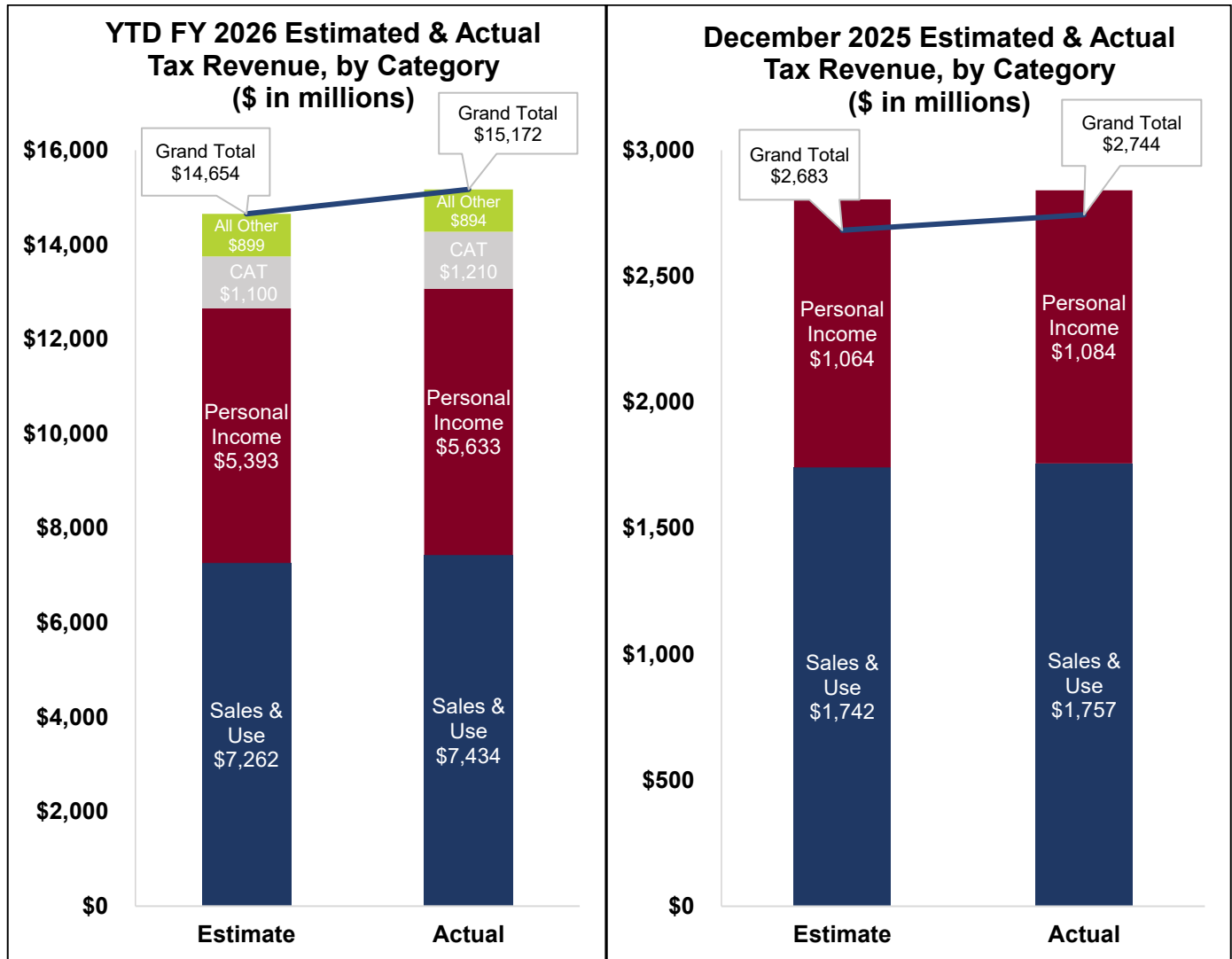
Note: Due to rounding of individual sources, the combined sum of sources above and below estimate may differ slightly from the total variance.



The preceding chart shows how various sources have contributed to the variance between actual and estimated non-federal revenues and transfers through December 2025. There is a \$514.4 million difference between actual and estimated non-federal

revenues, with the personal income tax, non-auto sales tax, and commercial activity tax driving the positive variance.

The following chart presents estimated and actual GRF tax revenues for the year and for December 2025, categorized by tax source. Sales and use tax revenues account for 49 percent of total tax revenues for the fiscal year to date, followed by personal income tax at 37.1 percent.



In December, total receipts and transfers increased by \$922.3 million (28.2%) compared with last year. Tax revenues, including the sales tax holiday transfer, increased by \$262 million (10.6%), while non-tax revenues increased \$660.4 million (83.8%). Year-to-date, tax receipts are \$1 billion (7.2%) above last year and non-tax receipts are \$1.7 billion

(20.8%) above last year. On a year-to-date basis, transfers are \$359.9 million above the previous year.

The source with the most significant year-over-year dollar increase in December is federal grants at \$657.9 million (83.8%), followed by the combined non-auto sales tax and sales tax holiday transfer at \$197.1 million (16.1%) and personal income tax at \$42.2 million (4%). The financial institutions tax saw the largest decrease, amounting to \$17.2 million. The most notable year-to-date increases are federal grants at \$1.7 billion (22.4%), followed by personal income tax at \$514.1 million (10%), combined non-auto sales tax and sales tax holiday transfer at \$366.9 million (6.1%), and transfers in-other at \$359.9 million. The most significant year-to-date decrease is in earnings on investments at \$35.4 million (-27.6%), followed by other income at \$26.9 million (-24.6%) and financial institutions tax at \$13.8 million (-32.1%).

Non-Auto Sales Tax

For December, GRF non-auto sales and use tax collections totaled \$1.2 billion, \$96.5 million (8.5%) above the estimate. Year-to-date revenue is \$196.9 million (3.3%) above the estimate. However, when combined with the transfer from the Expanded Sales Tax Holiday Fund to the GRF, December revenue was \$51.6 million (3.8%) above the estimate, and year-to-date revenue was \$152 million (2.4%) above estimate. December revenue increased \$134.3 million (12.2%) from last year, and year-to-date revenue is \$304.2 million (5.1%) above last year.



A portion of the positive year-to-date tax revenue variance is attributable to the expanded sales tax holiday held during the August 1-14 period. The revenue foregone from the sales tax holiday was smaller than anticipated by the monthly revenue forecasts. Originally forecasted to reduce GRF tax revenue by \$231.4 million, the impact has since been estimated at \$186.5 million. This difference represents a \$44.9 million positive year-to-date variance from the Monthly Financial Report's non-auto sales tax revenue estimate. In December, a total of \$240.1 million was transferred from the Expanded Sales Tax Holiday Fund to the GRF (\$186.5 million), Local Government Fund (\$3.3 million), and the Permissive Tax Distribution Fund (\$50.3 million) to reimburse for revenue losses. For the GRF, the fiscal impact of the expanded sales tax holiday is neutral: the lower-than-expected transfer from the expanded sales tax holiday fund exactly offsets the lower-than-expected sales tax revenue loss.

Moving to economic data, the U.S. Census Bureau's Advance Monthly Retail Trade Survey (MARTS) program released October data in December, one month later than usual. The data show an increase in year-over-year retail sales in October. Focusing on establishments primarily covered by Ohio's non-auto sales tax (NAICS codes 442, 443, 444, 448, 451, 452, 453, and 454), national retail sales increased 4.8 percent, not seasonally adjusted, during October 2025. In August and September, sales increased

year over year by 5.3 percent and 3.5 percent, respectively. By comparison, Ohio all-funds non-auto sales tax revenue increased 9.1 percent in October, decreased 1.3 percent in September, and increased 4.5 percent in August.

Auto Sales Tax

December auto sales tax revenues totaled \$152.1 million, \$8.9 million (6.2%) above the estimate. Year-to-date revenues are \$20.5 million (2.1%) above the estimate. Revenues were \$5.1 million (3.5%) above last December and are \$44.7 million (4.6%) above last year on a year-to-date basis.



Quarterly data from the Ohio Bureau of Motor Vehicles (BMV) provides details on FY 2026 taxable motor vehicle transactions, including a breakdown between new and used vehicles. BMV data for the first half of FY 2026 show that total motor vehicle sales increased \$909.7 million (5.2%) from the prior year. New vehicle sales have grown by \$411.9 million (5.6%) and used vehicle sales have increased by \$497.8 million (5%).

Details on transaction volumes and prices shed further light on new and used vehicle markets. The total number of taxable motor vehicle transactions increased by 32,094 (3.3%) during July to December 2025 compared to the prior year, with new vehicle transactions increasing by 7,012 (3.5%) and used vehicle transactions increasing by 25,082 (3.3%). Average prices for new and used vehicles have both climbed modestly during this period, with new vehicle prices rising \$739 (2%) year-over-year and used vehicle prices increasing \$214 (1.6%); composite prices were up 1.8 percent.

Several national automotive sector indicators provide additional context for the auto sales tax. The U.S. Department of Commerce's Bureau of Economic Analysis recently resumed monthly motor vehicle sales data releases. In December, new-light-vehicle unit sales reached a seasonally adjusted annual rate (the number of sales during the month, adjusted for seasonal variations, and expressed as an annualized total) of 16 million units. December sales were up 1.9 percent from November and down 4.9 percent from a year ago.

Estimates released by Kelley Blue Book show little change in new-vehicle prices during November. The average transaction price for a new vehicle was \$49,814, unchanged from the preceding month. Prices were 1.3 percent above those of the previous November.

Turning to used-vehicle data, November 2025 retail sales totaled 1.4 million units, according to Cox Automotive. This figure is 1.9 percent higher than November 2024 and 2.3 percent above the prior month. With few exceptions, monthly unit sales have grown year-over-year since February 2024.

Used vehicle prices peaked in January 2022 and moved downward through mid-2024. Since then, they have increased slightly even as monthly price movements alternate between increases and declines. In November, the Manheim Used Vehicle Value Index, a measure of wholesale vehicle prices, increased 1.2 percent from the prior month. The November 2025 index remained even with the preceding year. The Index is 4.8 percent above June 2024, the most recent low point, but is 13.7 percent below March 2023 when prices reached their most recent peak.

Personal Income Tax

December GRF personal income tax receipts totaled \$1.1 billion, \$19.8 million (1.9%) above the estimate. Year-to-date revenue is \$240.5 million (4.5%) above the estimate. On a year-over-year basis, December income tax collections were up \$42.2 million (4%). Year-to-date revenue is \$514.1 million (10%) above last year.



The FY 2026-2027 operating budget bill enacted income tax rate reductions that affect tax revenues collected during the current biennium. The reductions are phased in, with the initial change taking effect in taxable year 2025 and then fully implemented in taxable year 2026. Beginning in 2026, there will be a single 2.75 percent income tax rate, eliminating the multiple tax rate brackets previously in Ohio law. In October 2025, an associated change took effect. Employer withholding tax rates were revised to better align with the new income tax rate structure described above. The revised withholding tax rates constitute an estimated 1.8 percent reduction in FY 2026 revenue compared with the previous year's withholding rate structure.

December collections from withholding totaled \$1 billion, \$9.2 million (-0.9%) below the estimate. This component is \$39.7 million (0.7%) above the fiscal year-to-date estimate. December collections increased \$45.9 million (4.7%) from last December; year-to-date, collections are \$232.2 million (4.4%) higher than last year.

Estimated payments by pass-through entities amounted to \$102.5 million in December, \$6.5 million (6.8%) above the estimate. They increased \$3.2 million (3.2%) from last year. Year-to-date collections total \$415.1 million, \$73.3 million (21.5%) above the estimate and represent a \$68.3 million (19.7%) increase from the prior year. Collections since February 2025, reflecting payments to date for taxable year 2025, amount to \$672.1 million. This is \$100.5 million (17.6%) above the previous year.

Estimated tax payments made by individuals totaled \$41.4 million in December, \$15.6 million (60.5%) above the estimate. Collections increased \$9.7 million (30.6%) from last year. On a fiscal year-to-date basis, collections are \$52.8 million (25.6%) above estimate and \$36.1 million (16.2%) above FY 2025. Since February 2025, when payments due in April 2025 began to come in, individual estimated payments have totaled \$543.6 million,

reflecting an increase of \$95.9 million (21.4%) from the preceding year. One quarterly return payment remains for this taxable year, due in January 2026.

Annual tax return payments by pass-through entities totaled \$23.6 million in December, \$14.5 million (159.5%) above the estimate and \$15.3 million (185.3%) above the previous December. For the fiscal year to date, this component is \$12 million (13.2%) above the estimate and \$14.5 million (16.4%) above last year.

The individual annual returns category primarily reflects payments made with annual income tax return filings. These payments amounted to \$11.6 million in December, \$5.1 million (79.2%) above the estimate. Year-to-date collections exceed the estimate by \$18.2 million (13.5%). The month's intake was \$5.7 million (95.7%) above the prior year. For the fiscal year to date, annual return payments have increased by \$31.2 million (25.6%) from FY 2025. Since the beginning of the taxable year 2024 filing season in January 2025, payments have increased \$240.8 million (29.1%) from the prior calendar year, providing solid evidence of elevated non-wage income growth during taxable year 2024.

Trust payments and other tax collections totaled \$7.5 million in December, \$2 million (-21%) below the estimate. Year-to-date receipts are \$6 million (-9.6%) below the mark. Collections in these categories were \$2.3 million (-22.7%) below last December. For the year, they are \$4.8 million (-7.8%) below FY 2025.

Although the annual return filing deadline was in April for taxpayers not using filing extensions, refunds continue to be issued as needed for properly filed tax returns. December refunds amounted to \$71.3 million, \$9.9 million (16.2%) above the estimate. Year-to-date refunds are \$58.2 million (-9%) below the estimate. Compared with the prior fiscal year, December refunds increased by \$33 million (86.2%), and year-to-date refunds are down \$159.8 million (-21.4%).

December Personal Income Tax Receipts by Component (\$ in millions)

	Actual Dec	Estimate Dec	\$ Var	Actual Dec-2025	Actual Dec-2024	\$ Var Y-to-Y
Employer Withholding	\$1,017.8	\$ 1,027.0	\$ (9.2)	\$ 1,017.8	\$ 971.9	\$ 45.9
Pass-Through Entity Annual Returns	\$ 23.6	\$ 9.1	\$ 14.5	\$ 23.6	\$ 8.3	\$ 15.3
Pass-Through Entity Estimated Payments	\$ 102.5	\$ 96.0	\$ 6.5	\$ 102.5	\$ 99.3	\$ 3.2
Individual Estimated Payments	\$ 41.4	\$ 25.8	\$ 15.6	\$ 41.4	\$ 31.7	\$ 9.7
Individual Annual Returns	\$ 11.6	\$ 6.5	\$ 5.1	\$ 11.6	\$ 6.0	\$ 5.7
Trust Payments	\$ 1.2	\$ 3.1	\$ (1.9)	\$ 1.2	\$ 2.8	\$ (1.5)
Other	\$ 6.3	\$ 6.4	\$ (0.1)	\$ 6.3	\$ 7.0	\$ (0.7)
Less: Refunds	\$ (71.3)	\$ (61.4)	\$ (9.9)	\$ (71.3)	\$ (38.3)	\$ (33.0)
Local Distributions	\$ (49.6)	\$ (48.7)	\$ (0.9)	\$ (49.6)	\$ (47.2)	\$ (2.4)
Net to GRF	\$1,083.6	\$ 1,063.8	\$ 19.8	\$ 1,083.6	\$ 1,041.4	\$ 42.2

Commercial Activity Tax (CAT)

December GRF revenues from the CAT were \$14.2 million, \$851,000 (-5.6%) below the estimate. For the year, revenues are \$109.9 million (10%) above the estimate. December revenues were \$1.8 million (-11%) below the prior year. Year-to-date intake is \$42 million (3.6%) above FY 2025.

During the first half of FY 2026, refunds decreased by \$26.7 million from the prior year, boosting year-to-date GRF tax revenue growth by that amount. If refunds had remained the same as last year, year-to-date revenue would have increased 1.3 percent from the prior year, rather than at the actual 3.6 percent rate.

December is not a significant collection month for the CAT because it immediately follows the month when tax payments are due for the July-September gross receipts activity period. CAT revenue comes from quarterly tax payments, so it is useful to examine the revenue stream on a quarterly basis. In the second quarter of FY 2026, CAT revenue was \$34.9 million (5.9%) above the estimate, building on the \$75.1 million positive variance in the first quarter.

Non-Tax Revenue

GRF non-tax receipts totaled \$1.4 billion and were \$163.8 million (-10.2%) below the estimate for the month of December. Year-to-date non-tax receipts total \$9.6 billion and are \$174.6 million (-1.8%) below estimate.

The monthly variance in non-tax receipts was mainly due to the federal grants category, which was \$166.2 million (-10.3%) below the estimate. This variance was primarily attributable to below estimated Medicaid GRF disbursements, as discussed in the disbursement section of this report. The License and Fee and Other Income categories were a combined \$2.5 million above estimate for this month, primarily due to the timing of revenue receipts.

Table 1
GENERAL REVENUE FUND RECEIPTS
ACTUAL FY 2026 VS ESTIMATE FY 2026
(\$ in thousands)

REVENUE SOURCE	MONTH			
	ACTUAL DECEMBER	ESTIMATE DECEMBER	\$ VAR	% VAR
TAX RECEIPTS				
Non-Auto Sales & Use	1,232,098	1,135,600	96,498	8.5%
Sales Tax Holiday Transfer	186,485	231,400	(44,915)	-19.4%
Auto Sales & Use	152,054	143,200	8,854	6.2%
Subtotal Sales & Use	1,570,637	1,510,200	60,437	4.0%
Personal Income	1,083,588	1,063,800	19,788	1.9%
Commercial Activity Tax	14,249	15,100	(851)	-5.6%
Insurance Tax	(199)	2,300	(2,499)	-108.7%
Kilowatt Hour	20,469	18,400	2,069	11.2%
Financial Institutions Tax	(28,348)	(4,200)	(24,148)	-574.9%
Public Utility	2	2,200	(2,198)	-99.9%
Natural Gas Distribution	3	0	3	N/A
Petroleum Activity Tax	2,386	2,600	(214)	-8.2%
Other Business & Property	5	0	5	N/A
Cigarette and Other Tobacco	66,269	58,400	7,869	13.5%
Adult Use Marijuana	5,017	5,600	(583)	-10.4%
Alcoholic Beverage	5,646	3,400	2,246	66.0%
Liquor Gallonage	4,381	4,700	(319)	-6.8%
Repealed Taxes	0	0	0	N/A
Total Tax Receipts	2,744,104	2,682,500	61,604	2.3%
NON-TAX RECEIPTS				
Earnings on Investments	0	0	0	N/A
License & Fees	1,700	909	791	87.1%
Other Income	3,805	2,106	1,698	80.6%
ISTV'S	1	17	(16)	-95.1%
TOTAL STATE SOURCE	2,749,609	2,685,532	64,078	2.4%
Federal Grants	1,442,819	1,609,044	(166,225)	-10.3%
Total Non-Tax Receipts	1,448,325	1,612,076	(163,751)	-10.2%
TOTAL REVENUES	4,192,429	4,294,576	(102,147)	-2.4%
TRANSFERS				
Budget Stabilization	0	0	0	N/A
Transfers In - Other	0	0	0	N/A
Temporary Transfers In	0	0	0	N/A
Total Transfers	0	0	0	N/A
TOTAL SOURCES	4,192,429	4,294,576	(102,147)	-2.4%

	YEAR-TO-DATE			
	ACTUAL Y-T-D	ESTIMATE Y-T-D	\$ VAR	% VAR
	6,235,184	6,038,300	196,884	3.3%
	186,485	231,400	(44,915)	-19.4%
	1,012,806	992,300	20,506	2.1%
	7,434,475	7,262,000	172,476	2.4%
	5,633,415	5,392,900	240,515	4.5%
	1,210,144	1,100,200	109,944	10.0%
	245,090	241,900	3,190	1.3%
	168,568	168,200	368	0.2%
	(56,821)	(30,100)	(26,721)	-88.8%
	89,277	79,900	9,377	11.7%
	20,369	18,700	1,669	8.9%
	4,532	5,200	(668)	-12.8%
	5	0	5	N/A
	336,120	328,100	8,020	2.4%
	23,447	25,700	(2,253)	-8.8%
	36,617	33,300	3,317	10.0%
	26,694	27,700	(1,007)	-3.6%
	14	0	14	N/A
	15,171,947	14,653,700	518,247	3.5%
	92,751	80,390	12,361	15.4%
	15,832	14,632	1,200	8.2%
	82,268	99,788	(17,520)	-17.6%
	9,642	9,980	(337)	-3.4%
	15,372,440	14,858,490	513,951	3.5%
	9,421,068	9,591,365	(170,297)	-1.8%
	9,621,562	9,796,155	(174,593)	-1.8%
	24,793,509	24,449,855	343,654	1.4%
	0	0	0	N/A
	361,362	360,963	399	0.1%
	0	0	0	N/A
	361,362	360,963	399	0.1%
	25,154,871	24,810,818	344,053	1.4%

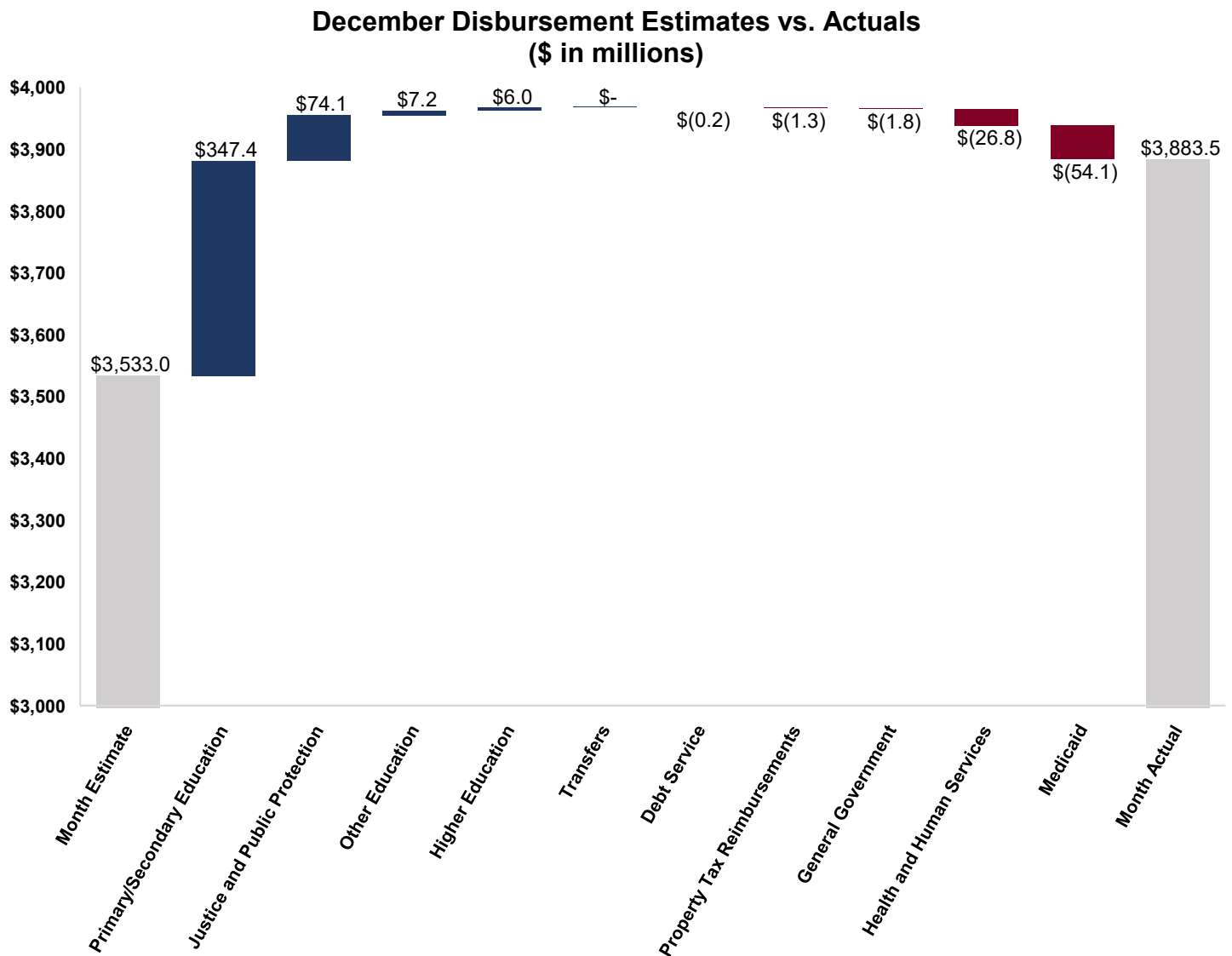
Table 2
GENERAL REVENUE FUND RECEIPTS
ACTUAL FY 2026 VS ACTUAL FY 2025
(\$ in thousands)

REVENUE SOURCE	MONTH			
	DECEMBER FY 2026	DECEMBER FY 2025	\$ VAR	% VAR
TAX RECEIPTS				
Non-Auto Sales & Use	1,232,098	1,097,764	134,334	12.2%
Sales Tax Holiday Transfer	186,485	123,752	62,733	50.7%
Auto Sales & Use	152,054	146,975	5,079	3.5%
Subtotal Sales & Use	1,570,637	1,368,491	202,146	14.8%
Personal Income	1,083,588	1,041,424	42,163	4.0%
Commercial Activity Tax	14,249	16,011	(1,762)	-11.0%
Insurance Tax	(199)	(1,912)	1,713	89.6%
Kilowatt Hour	20,469	16,351	4,118	25.2%
Financial Institutions Tax	(28,348)	(11,127)	(17,221)	-154.8%
Public Utility	2	(20,864)	20,866	100.0%
Natural Gas Distribution	3	0	3	N/A
Petroleum Activity Tax	2,386	2,170	216	10.0%
Other Business & Property	5	0	5	N/A
Cigarette and Other Tobacco	66,269	62,648	3,622	5.8%
Adult Use Marijuana	5,017	0	5,017	N/A
Alcoholic Beverage	5,646	4,160	1,485	35.7%
Liquor Gallonage	4,381	4,772	(391)	-8.2%
Repealed Taxes	0	17	(17)	N/A
Total Tax Receipts	2,744,104	2,482,141	261,963	10.6%
NON-TAX RECEIPTS				
Earnings on Investments	0	0	0	N/A
License & Fee	1,700	1,124	576	51.3%
Other Income	3,805	1,882	1,922	102.1%
ISTV'S	1	6	(5)	-87.0%
TOTAL STATE SOURCE	2,749,609	2,485,153	264,456	10.6%
Federal Grants	1,442,819	784,959	657,861	83.8%
Total Non-Tax Receipts	1,448,325	787,971	660,354	83.8%
TOTAL REVENUES	4,192,429	3,270,112	922,317	28.2%
TRANSFERS				
Budget Stabilization	0	0	0	N/A
Transfers In - Other	0	0	0	N/A
Temporary Transfers In	0	0	0	N/A
Total Transfers	0	0	0	N/A
TOTAL SOURCES	4,192,429	3,270,112	922,317	28.2%

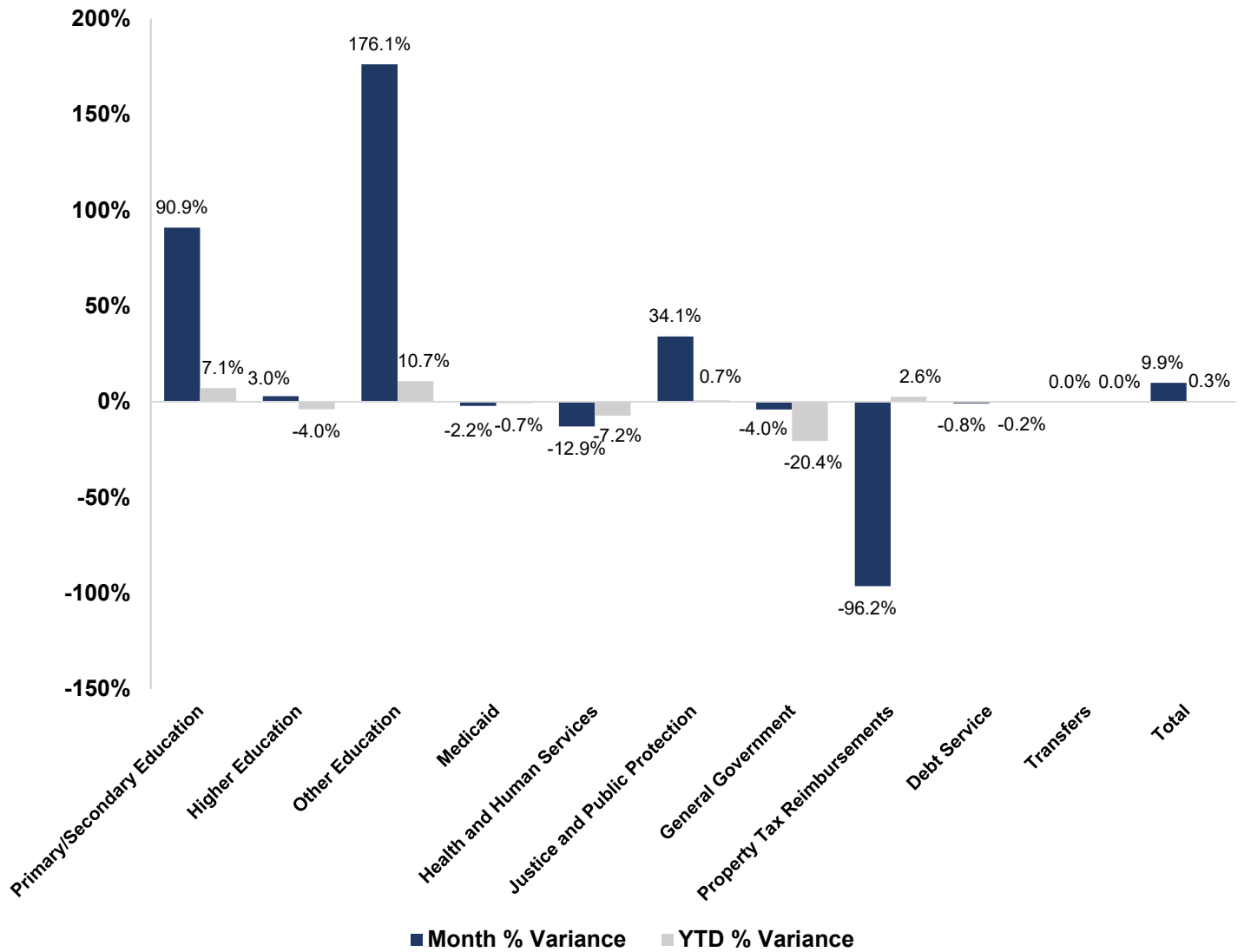
YEAR-TO-DATE			
ACTUAL FY 2026	ACTUAL FY 2025	\$ VAR	% VAR
6,235,184	5,931,015	304,169	5.1%
186,485	123,752	62,733	50.7%
1,012,806	968,105	44,701	4.6%
7,434,475	7,022,871	411,604	5.9%
5,633,415	5,119,354	514,061	10.0%
1,210,144	1,168,105	42,040	3.6%
245,090	230,900	14,189	6.1%
168,568	155,936	12,632	8.1%
(56,821)	(43,012)	(13,809)	-32.1%
89,277	77,131	12,147	15.7%
20,369	15,954	4,416	27.7%
4,532	5,205	(673)	-12.9%
5	0	5	N/A
336,120	339,580	(3,460)	-1.0%
23,447	0	23,447	N/A
36,617	32,627	3,990	12.2%
26,694	27,818	(1,124)	-4.0%
14	94	(80)	-85.2%
15,171,947	14,152,563	1,019,384	7.2%
92,751	128,181	(35,430)	-27.6%
15,832	14,231	1,600	11.2%
82,268	109,171	(26,903)	-24.6%
9,642	14,452	(4,810)	-33.3%
15,372,440	14,418,598	953,842	6.6%
9,421,068	7,698,542	1,722,526	22.4%
9,621,562	7,964,577	1,656,985	20.8%
24,793,509	22,117,140	2,676,369	12.1%
0	0	0	N/A
361,362	1,484	359,878	24250.9%
0	0	0	N/A
361,362	1,484	359,878	24250.9%
25,154,871	22,118,624	3,036,247	13.7%

Disbursements

December GRF disbursements, for all uses, totaled \$3.9 billion and were \$350.6 million (9.9%) above estimate. Higher-than-estimated spending in Primary and Secondary Education, Justice and Public Protection, and Other Education were partially offset by lower-than-estimated spending in several categories, including Medicaid and Health and Human Services. On a year-over-year basis, total December disbursements were \$1.5 billion (60.8%) higher than in the same month of the previous fiscal year, mainly due to Medicaid and Primary and Secondary Education.



Monthly and Year-to-Date Percent Variance from Budgeted Estimate



Primary and Secondary Education

This category includes GRF spending for the Department of Education and Workforce. December disbursements totaled \$729.6 million and were \$347.4 million (90.9%) above the estimate. The variance is attributable to school foundation aid, which was \$345.4 million above estimate due to the timing of bimonthly foundation payments for traditional districts. It was estimated that one payment would be processed in December, but two payments were processed to ensure the holidays did not interfere with the timeliness of traditional districts' first January payment. January disbursements are expected to be below the estimate as two payments will be processed instead of three as originally planned.

Year-to-date disbursements total \$5.4 billion, \$356.8 million (7.1%) above estimate. Year-to-date disbursements are expected to fall back in line with estimates in January. On a year-over-year basis, disbursements in this category were \$332.8 million (83.9%) higher than the same month in the previous fiscal year. Year-to-date expenditures are \$294.7 million (5.8%) higher than the same point in FY 2025.

Justice and Public Protection

This category includes non-debt service GRF expenditures by the Department of Rehabilitation and Correction, the Department of Youth Services, the Attorney General, judicial agencies, and other justice-related entities. December disbursements totaled \$291.4 million, which was \$74.1 million (34.1%) above the estimate.

The December variance was primarily attributable to the Department of Rehabilitation and Correction, which disbursed \$66.7 million (43.6%) above the estimate. The Department distributed its support for community-based correctional facilities, halfway houses, and other diversionary programming in late December rather than the anticipated early January.

The Ohio Attorney General also contributed to the positive variance in this category. School safety grant disbursements were \$5.6 million above estimate due to the grant applications opening ahead of schedule, which resulted in quicker disbursements of grant funding. This program provides school safety grants such as certification training for school resource officers and physical security upgrades to public and chartered nonpublic schools, educational service centers, local law enforcement agencies, and schools operated by county boards of developmental disabilities.

Year-to-date disbursements in this category total \$1.7 billion and are \$12 million (0.7%) above the estimate. The over-estimate in spending for the Department of Rehabilitation and Correction will be offset next month, as there will be lower than anticipated community support spending in January. On a year-over-year basis, disbursements in this category were \$29.6 million (11.3%) above the same month last fiscal year, primarily due to the timing of the Department of Rehabilitation and Correction's

community support programs. Year-to-date expenditures are \$123.1 million (7.7%) above the same point in FY 2025.

Medicaid

This category includes all Medicaid spending on services and program support by the following eight agencies: the Department of Medicaid, the Department of Behavioral Health, the Department of Developmental Disabilities, the Department of Health, the Department of Job and Family Services, the Department of Aging, the Department of Education and Workforce, and the State Board of Pharmacy.

Medicaid Expenditures

December GRF disbursements for the Medicaid Program totaled \$2.4 billion and were \$54.1 million (-2.2%) below estimate and \$1.1 billion (92%) above disbursements for the same month in the previous fiscal year. Year-to-date GRF disbursements total \$14.4 billion and are \$96.4 million (-0.7%) below estimate and \$2.4 billion (19.4%) above disbursements for the same period in the previous fiscal year. The December GRF disbursement variance occurred primarily due to delays in the retroactive managed care payments. Additionally, Medicare Premium Assistance spending was below estimate in December due to retroactive adjustments and the timing of invoices. Medicare Premium Assistance payments include Medicare Buy In and Medicare Part D. The Department expects this variance to reverse in the coming months.

December all-funds disbursements for the Medicaid Program totaled \$3.5 billion and were \$1.8 billion (-34.2%) below estimate and \$627.2 million (-15.2%) below disbursements for the same month in the previous fiscal year. Year-to-date all-funds disbursements totaled \$21 billion and were \$3.2 billion (-13.2%) below estimate and \$552.5 million (-2.6%) below disbursements for the same period in the previous fiscal year. The all-funds variance is mainly driven by Hospital Additional Payments that were originally scheduled for the second quarter of FY 2026 but are still awaiting approval from the Centers of Medicare and Medicaid Services.

Current Month's Disbursement Variance by Funding Source
(\$ in millions)

	November Estimate	November Actual	Variance	Variance %
GRF	\$ 2,450.5	\$ 2,396.4	\$ (54.1)	-2.2%
Non-GRF	\$ 2,865.8	\$ 1,099.3	\$ (1,766.5)	-61.6%
All Funds	\$ 5,316.2	\$ 3,495.6	\$ (1,820.6)	-34.2%

Medicaid Enrollment

Total December enrollment was 2.94 million, which was a decline of 23,507 from the prior month and 117,457 (-3.8%) below enrollment for the same period last year. The year-to-date average monthly enrollment was 2.97 million and was 21,069 below estimate.

December enrollment by major eligibility category was: Covered Families and Children (CFC), 1.56 million; Group VIII Expansion, 728,971, and Aged, Blind and Disabled (ABD), 506,254.

**Please note that enrollment data are subject to revision.*

Health and Human Services

This category includes non-debt service GRF expenditures by the following state agencies: Job and Family Services, Health, Aging, Developmental Disabilities, Behavioral Health, and others. Examples of expenditures in this category include childcare, Temporary Assistance for Needy Families (TANF) maintenance of effort, administration of the state's psychiatric hospitals, operating subsidies to county boards of developmental disabilities, various immunization programs, and Ohio's long-term care ombudsman program. The Medicaid category reflects expenditures to the extent that these agencies spend GRF to support Medicaid services. December disbursements for this category totaled \$181 million and were \$26.8 million (-12.9%) below the estimate.

The Department of Children and Youth spent \$27.8 million (-25.8%) below estimate in December. Spending on the Early Care and Education program was \$13.7 million (-70.8%) below estimate due to increased spending from federal sources. The Department expects year-to-date spending to come more in line with estimates in January as it shifts from federal sources to the GRF. The Department spent \$7.3 million (-14%) less than anticipated with vendors and local partners that serve vulnerable children and families, as some payments went out earlier than expected. Additionally, the schedule for best practice incentives to county partners changed from the previous year, but the full amount of the incentives will be distributed throughout FY 2026.

Opportunities for Ohioans with Disabilities disbursed \$5 million (-92.8%) below the estimate in December. This variance was primarily due to a shift in payroll funding between the Vocational Rehabilitation GRF line and a federal funding source. The Vocational Rehabilitation Program helps individuals with disabilities obtain and maintain employment. The agency regularly evaluates which funding source to use for payroll throughout the fiscal year and adjusts accordingly. The agency expects to fully utilize appropriations in the Vocational Rehabilitation GRF line by the end of the fiscal year.

Year-to-date disbursements in the Health and Human Services category total \$1.2 billion and are \$90.7 million (-7.2%) below the estimate. On a year-over-year basis, disbursements in this category were \$12.8 million (-6.6%) lower than in the same month in the previous fiscal year, while year-to-date expenditures are \$144.8 million (14.2%) higher than at the same point in FY 2025.

Other Education

This category includes non-debt service GRF expenditures made by the Broadcast Educational Media Commission, the Ohio Facilities Construction Commission, the Ohio Deaf and Blind Education Services, and disbursements made to libraries and to cultural and arts organizations. December disbursements in this category totaled \$11.3 million, \$7.2 million (176.1%) above the estimate.

The Ohio History Connection primarily drove this variance, disbursing \$7.1 million in December. This amount is \$7.1 million (100%) above the estimate, as no disbursement was estimated for the month. Disbursements for the History Connection are processed quarterly and are projected to occur in the first month of each fiscal quarter. The payment scheduled for January was processed in late December due to streamlined payment processes that avoided delays to History Connection's quarterly payment around the New Year's bank holiday. This early disbursement will offset in January.

Year-to-date disbursements for the category are \$7.2 million (10.7%) above the estimate. On a year-over-year basis, disbursements in this category were \$7.4 million (190.2%) higher in the same month in the previous fiscal year, and year-to-date expenditures are \$11.5 million (18.1%) higher than at the same point in FY 2025.

Property Tax Reimbursement

Payments from the property tax reimbursement category are distributed to local governments and school districts to reimburse these entities for revenues foregone due to the non-business real property tax credit, the owner-occupancy credit, and the homestead exemption. December reimbursements totaled \$51,507, \$1.3 million (-96.2%) below the estimate, primarily due to the timing of reimbursement requests from local governments, which partially offset higher-than-estimated spending earlier in the fiscal year. Year-to-date disbursements are \$25.5 million above the estimate (2.6%).

General Government

This category includes non-debt service GRF expenditures by the Department of Administrative Services, Department of Natural Resources, Department of Development, Department of Agriculture, Department of Taxation, Department of Transportation, Office of Budget and Management, non-judicial statewide elected officials, legislative agencies, and others. December disbursements for this category totaled \$43 million, \$1.8 million (-4%) below the estimate.

The Department of Transportation disbursed \$5.1 million (-53.4%) below the estimate in December, significantly contributing to the variance in this category. This was primarily due to below-estimate spending for the Rual Transit Program, which resulted from vendor delays in delivering several buses to the Greater Cleveland Regional Transit Authority. Delivering a bus can take up to three years. Additionally, delays to a road widening project occurred due to environmental feasibility.

Year-to-date disbursements for the category total \$286.7 million and are \$73.6 million (-20.4%) below the estimate. On a year-over-year basis, disbursements in this category were \$4.3 million (11.2%) higher than in the same month of the previous fiscal year, while year-to-date expenditures are \$74.1 million (-20.5%) lower than at the same point in FY 2025.

Higher Education

December disbursements for the Higher Education category, which include non-debt service GRF spending by the Department of Higher Education, totaled \$206.8 million, \$6 million (3%) above the estimate.

Year-to-date disbursements total \$1.4 billion, \$56.6 million (-4%) below the estimate, mainly due to lower-than-expected disbursements for various scholarship programs, which are expected to be disbursed in future months.

On a year-over-year basis, disbursements in this category were \$2.5 million (-1.2%) lower than in the same month of the previous fiscal year. Year-to-date expenditures are \$4.4 million (0.3%) higher than at the same point in FY 2025.

Debt Service

Disbursements from the Debt Service category are primarily used to pay principal and interest costs on the State's General Obligation and Lease-Appropriation debt. Proceeds from these bonds fund projects across various capital programs. In December, debt service payments totaled \$23.9 million, \$200,000 (-0.8%) below the estimate.

Table 3
GENERAL REVENUE FUND DISBURSEMENTS
ACTUAL FY 2026 VS ESTIMATE FY 2026
(\$ in thousands)

Functional Reporting Categories Description	MONTH				YEAR-TO-DATE			
	ACTUAL DECEMBER	ESTIMATED DECEMBER	\$ VAR	% VAR	YTD ACTUAL	YTD ESTIMATE	\$ VAR	% VAR
Primary and Secondary Education	729,639	382,214	347,425	90.9%	5,353,511	4,996,721	356,791	7.1%
Higher Education	206,843	200,868	5,974	3.0%	1,374,624	1,431,195	(56,571)	-4.0%
Other Education	11,269	4,081	7,187	176.1%	74,636	67,399	7,237	10.7%
Medicaid	2,396,360	2,450,458	(54,098)	-2.2%	14,439,968	14,536,345	(96,377)	-0.7%
Health and Human Services	181,025	207,853	(26,828)	-12.9%	1,161,553	1,252,213	(90,660)	-7.2%
Justice and Public Protection	291,361	217,251	74,110	34.1%	1,719,754	1,707,791	11,963	0.7%
General Government	43,003	44,791	(1,788)	-4.0%	286,739	360,373	(73,634)	-20.4%
Property Tax Reimbursements	52	1,370	(1,319)	-96.2%	1,023,259	997,743	25,516	2.6%
Debt Service	23,906	24,106	(200)	-0.8%	645,133	646,612	(1,479)	-0.2%
Total Expenditures & ISTV's	3,883,458	3,532,994	350,464	9.9%	26,079,178	25,996,391	82,786	0.3%
Transfers Out:								
BSF Transfer Out	0	0	0	N/A	0	0	0	N/A
Operating Transfer Out	0	0	0	N/A	951,466	950,133	1,333	0.1%
Temporary Transfer Out	0	0	0	N/A	0	0	0	N/A
Total Transfers Out	0	0	0	N/A	951,466	950,133	1,333	N/A
Total Fund Uses	3,883,458	3,532,994	350,464	9.9%	27,030,643	26,946,524	84,119	0.3%

Table 4
GENERAL REVENUE FUND DISBURSEMENTS
ACTUAL FY 2026 VS ACTUAL FY 2025
(\$ in thousands)

Functional Reporting Categories Description	MONTH				YEAR-TO-DATE			
	DECEMBER FY 2026	DECEMBER FY 2025	\$ VAR	% VAR	ACTUAL FY 2026	ACTUAL FY 2025	\$ VAR	% VAR
Primary and Secondary Education	729,639	396,833	332,807	83.9%	5,353,511	5,058,770	294,742	5.8%
Higher Education	206,843	209,377	(2,535)	-1.2%	1,374,624	1,370,180	4,444	0.3%
Other Education	11,269	3,883	7,386	190.2%	74,636	63,175	11,461	18.1%
Medicaid	2,396,360	1,247,859	1,148,502	92.0%	14,439,968	12,088,929	2,351,039	19.4%
Health and Human Services	181,025	193,859	(12,834)	-6.6%	1,161,553	1,016,761	144,793	14.2%
Justice and Public Protection	291,361	261,756	29,605	11.3%	1,719,754	1,596,635	123,119	7.7%
General Government	43,003	38,680	4,323	11.2%	286,739	360,878	(74,139)	-20.5%
Property Tax Reimbursements	52	2,253	(2,202)	-97.7%	1,023,259	964,802	58,457	6.1%
Debt Service	23,906	60,839	(36,933)	-60.7%	645,133	802,694	(157,561)	-19.6%
Total Expenditures & ISTV's	3,883,458	2,415,339	1,468,119	60.8%	26,079,178	23,322,824	2,756,354	11.8%
Transfers Out:								
BSF Transfer	0	0	0	N/A	0	0	0	N/A
Operating Transfer Out	0	0	0	N/A	951,466	731,701	219,764	30.0%
Temporary Transfer Out	0	0	0	N/A	0	0	0	N/A
Total Transfers Out	0	0	0	N/A	951,466	731,701	219,764	30.0%
Total Fund Uses	3,883,458	2,415,339	1,468,119	60.8%	27,030,643	24,054,525	2,976,118	12.4%

Table 5
FUND BALANCE
GENERAL REVENUE FUND
FISCAL YEAR 2026
(\$ in thousands)

July 1, 2025 Beginning Cash Balance*	2,012,639
Plus FY 2026 Estimated State Source Revenues	29,592,470
Plus FY 2026 Estimated Federal Revenues	14,508,927
Plus FY 2026 Estimated Transfers to GRF	982,205
Total Sources Available for Expenditures & Transfers	47,096,241
Less FY 2026 Estimated Current Year Disbursements**	43,794,447
Less FY 2026 Prior Year Encumbrances Disbursements***	674,917
Less FY 2026 Estimated Total Encumbrances as of June 30, 2026	774,157
Less FY 2026 Estimated Transfers Out****	955,210
Total Estimated Uses	46,198,732
FY 2026 Estimated Unencumbered Ending Fund Balance	897,509

*Includes reservations of \$893.7 million for prior year encumbrances. After accounting for this adjustment, the unencumbered beginning fund balance for fiscal year 2025 is \$1,119.0 million.

**Current Year Disbursements include appropriation increases made in H.B. 434, enacted in November 2025.

***Prior Year Encumbrances Disbursements have been updated to reflect \$55 million in closures of prior year encumbrances since the last update to this table in July 2025.

****Transfers Out include transfers authorized in H.B. 184, enacted in December 2025.

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Glossary

Average Daily Rate	A measure of a hotel's profit and performance, the average rate paid per hotel room that is occupied at United States hotel properties. It is calculated by dividing room revenue by rooms sold.
Beige Book	This report published by the Board of Governors of the Federal Reserve System evaluates current economic conditions across the 12 Federal Reserve districts in the United States, highlighting changes in economic conditions since the previous report.
Building Permits	The number of privately-owned housing units authorized for construction in Ohio or in the United States. Permits for a house, an apartment, a group of rooms, or a single room intended for occupancy as separate living quarters are included in this measure.
Consumer Confidence	The Conference Board's measure reflects present and anticipated business conditions. The monthly report measures consumer attitudes, buying intentions, vacation plans, and consumers expectations on inflations, stock prices, and interest rates in the United States.
Consumer Price Index for All Urban Consumers	Computed by the Bureau of Labor Statistics, this index measures the average change in prices paid by consumers for goods and services over time. The index is based on spending patterns of urban consumers for more than 200 items and over 120 different combinations of items such as food and beverages, housing, and energy.
Continued and Extended Unemployment Claims	Continued unemployment claims include the number of Ohio residents filing for ongoing unemployment benefits for a period up to 26 weeks, after their initial claim. In some cases, the federal government may extend the period that unemployment benefits may be received, even if the worker has exhausted regular unemployment insurance period.

Employment Trends Index	The Conference Board's Leading composite index indicates the direction of employment through the aggregation of eight leading employment indicators.
Existing Home Sales	A measure of the number of sales of existing homes, which includes single-family, townhomes, condominiums, and co-ops. This number is based on transaction closings from the Multiple Listing Services.
Hotel Occupancy Rate	A performance indicator that shows the percentage of hotel rooms that are occupied in the United States compared to total available space.
Housing Market Index	Produced by the National Association of Home Builders (NAHB) and Wells Fargo, the index is based on a monthly survey of NAHB members designed to take the pulse of the single-family housing market. Respondents are asked to rate market conditions for the sale of new homes at the present time and in the next six months as well as the traffic of prospective buyers of new homes.
Initial Unemployment Claims	The number of new jobless claims filed by Ohio workers seeking unemployment assistance for the first-time following a job loss.
Leading Economic Index	The Conference Board's Leading Composite Index is designed to reveal patterns in economic data by smoothing the volatility of its 10 individual components. The Leading Economic Index is a predictive index that anticipates business cycle inflexion points.
Manufacturing Production	A measure produced by the Board of governors of the Federal Reserve System that measures the real output of the United States manufacturing industry by group based off of 2017 North American Industry Classification System (NAICS) codes.
Newly Built Single-Family Home Sales	A measure of the sales of newly built single family structures including houses and townhouses.
Ohio Employee-Population Ratio	The proportion of Ohio civilian employment to the Ohio civilian non-institutional population. The ratio is primarily used as a measure of job holders and to track the pace of job creation compared to the adult population over time.

Ohio Labor Force Participation Rate	This rate represents the number of people in the Ohio labor force as a percentage of the Ohio civilian non-institutionalized population.
Ohio Nonfarm Payroll Employment	A measure of the number of workers in Ohio excluding farm workers as well as some government workers, private household employees, proprietors, unpaid volunteers, and the unincorporated self-employed.
Ohio Unemployment Rate	A measure of the share of workers in the Ohio labor force who do not currently have a job that are actively looking for work. People who have not looked for work in the past four weeks are not included in this measure.
People Not in the Labor Force Who Currently Want a Job	Individuals who want a job but are not counted as unemployed because they were not actively looking for work over the last four weeks or were unavailable to take a job for a variety of reasons including caring for children or other family members.
Permanent Job Losses	Unemployed persons whose employment ended involuntarily, or completed a temporary job, and began looking for work.
Personal Consumption Expenditures	Produced by the Bureau of Economic Analysis, this indicator reflects price and consumer changes of national household expenditures for goods and services exchanged in the United States economy.
Personal Income	Income that people receive from wages and salaries, Social Security and other government benefits, dividends and interest, business ownership, and other sources.
Personal Saving	Produced by the Bureau of Economic analysis, this is the difference between current-dollar disposable income (that is, after-tax income) and personal outlays.
Personal Saving Rate	Produced by the Bureau of Economic Analysis, this indicator calculates the percentage of an individual's income left after they pay taxes and spend money. It is the percentage of the disposable income that people save.
Purchasing Managers Index	Produced by the Institute for Supply Management that measures expansions and contractions of the manufacturing economy. An index score reading above 50 percent indicates that the manufacturing economy is generally expanding, while below 50 percent it is generally contracting.

Real Gross Domestic Product	Produced by the Bureau of Economic Analysis, this is a measure of the inflation adjusted value of the goods and services produced by labor and property located in the United States.
Revenue Per Available Room	This is a standard performance measure used in the hotel industry calculated by multiplying a hotel's average daily room rate by its occupancy rate.
Small Business Optimism Index	The National Federation of Independent Business calculates this index to provide an indication of the health of small businesses in the United States through a composite of 10 seasonally adjusted components.
State-Level Coincident Index	Produced by the Federal Reserve Bank of Philadelphia, this index is a composite of four labor market indicators – nonfarm payroll employment, average hours worked in manufacturing, the unemployment rate, and real wage and salary disbursements.
Survey of Consumers	The University of Michigan's Survey of Consumers reports a measure of consumer confidence in the overall health of the economy in the United States. Information is gathered from a monthly telephone survey of consumer expectations for the economy.
Temporary Layoff	People who have been given a date to return to work or who expect to return to work within six months. Those on temporary layoff do not need to be looking for work to be classified as unemployed.
Total Construction Spending	The Census Bureau's estimate of the total dollar value of construction work done in the United States for the month on new structures or improvements to existing structures for private and public sectors. Estimates include the cost of architectural and engineering work, the cost of labor and materials, overhead costs, interest, and taxes paid during construction, and contractor's profits.
Total Industrial Production	A measure produced by the Board of Governors of the Federal Reserve System, the index measures the real output of the manufacturing, mining, and electric and gas utilities industries. The reference period for the index is 2017.
Total Travel Throughput	The number of travelers that go through Transportation Security Administration checkpoints in airports across the United States.

Unlinked Passenger Trips	The number of times a passenger takes a public transit trip on a public transit vehicle regardless of fare paid, transfer pass used, received a free ride, or paid using another method. If a passenger transfers to another vehicle, that person takes two unlinked passenger trips.
U.S. Labor Force Participation Rate	This rate represents the number of people in the United States labor force as a percentage of the United States civilian non-institutionalized population.
U.S. Nonfarm Payroll Employment	A measure of the number of workers in the United States excluding farm workers as well as some government workers, private household employees, proprietors, unpaid volunteers, and the unincorporated self-employed.
U.S. Unemployment Rate	A measure of the share of workers in the United States labor force who do not currently have a job but are actively looking for work. People who have not looked for work in the past four weeks are not included in this measure.
Worker Adjustment and Retraining Notification (WARN) Act	The WARN Act requires employers to provide written notices of at least 60 days in advance of covered plant closings and mass layoffs in Ohio to the Ohio Department of Job and Family Services.